

Characteristic	Discussion
Volume	Irregular shape but tends to be high at the start of the lead-in phase, bump phase, and breakout.
Breakout direction	Downward, by definition.
Confirmation	If price does not close below the bottom trendline, then you don't have a valid pattern.

Appearance. Look for price to rise at the start of the pattern, but the high–low range is short compared to the bump phrase. Price rises following a trendline. During the bump phase, price forms a tall mountain. After that, the stock heads down and continues dropping, plunging through the trendline setup during the start of the chart pattern.

Arithmetic scale. Use the arithmetic scale, not a semilogarithmic one, because the semilog scale distorts vertical distance.

Rising trendlines. In the figure, an up-sloping trendline drawn below the lows in the stock extends until it intersects price as it declines in May. Volume is high at the start of the pattern, and the price trend is up. That is a key consideration: Price must be rising. The trendline should be approximately 30 degrees, but the degree of slope depends on the scaling used to view the chart. *If the trendline is flat or nearly so, it is not a good BARR candidate.* A rising trendline shows investor enthusiasm for the stock. However, the trendline should not be too steep, either. Steep trendlines (over 60 degrees or so) do not allow enough room for the bump to complete properly.

Lead-in phase, lead-in height. The first part of the pattern, called the lead-in phase, leads to the bump phase. The lead-in phase should be at least 1 month long (but be flexible) and usually falls in the 2- to 3-month range, but can be considerably longer. Price oscillates up and down in this phase and has a range of at least \$1 as measured from the highest high to the trendline (but this will vary with the price of the stock). This range, called the lead-in height, is calculated using price from the first quarter of the entire chart pattern.

[Figure 15.1](#), for example, shows that the highest high during the first quarter of the pattern occurs on 12 January 1994, at 25.63. The trendline